

NovaTech Holdings Inc. — Q4 2024 Financial Report

Q4 2024 Financial Report for NovaTech Holdings Inc.

NovaTech Holdings Inc. is pleased to present its quarterly performance summary for the period ending December 31, 2024. The company experienced a record quarter, driven by continued expansion of its cloud and AI services segments. Customer growth reached 12% quarter-over-quarter, while churn decreased to 3.5%. Operational efficiency programs helped maintain gross margins despite a 9% increase in headcount. Net income improved by 18% compared to the previous quarter.

Highlights:

- Revenue reached \$1.42B, a 14% increase year-over-year.
- Cloud services contributed 48% of total revenue.
- AI division revenue grew 36% YoY, reaching \$310M.
- Customer count increased to 48,000 active enterprise customers.
- Total employee headcount: 8,940 (vs 8,200 in Q3).

Table 1: Consolidated Income Statement (USD Millions)

Category	Q4 2024 (USD M)	Q3 2024 (USD M)	QoQ Growth %
Revenue - Cloud Services	680	620	9.7
Revenue - AI Solutions	310	280	10.7
Revenue - Hardware	250	230	8.7
Revenue - Support & Maintenance	180	170	5.9
Total Revenue	1420	1300	9.2
Cost of Goods Sold	730	700	4.3
Gross Profit	690	600	15.0
Operating Expenses	420	390	7.7
Operating Income	270	210	28.6
Net Income	230	195	17.9

Table 2: Customer & Segment Metrics

Segment	Customers (Q3)	Customers (Q4)	QoQ Growth %	ARPU (USD)
Enterprise Cloud	38200	40500	6.0	15800
AI Research	9800	11200	14.3	27600
Consumer Devices	125000	132000	5.6	240
Professional Services	4800	5050	5.2	9200

Table 3: Departmental Headcount and Cost Breakdown

Department	Headcount Q3	Headcount Q4	Total Cost Q4 (USD M)
R&D	2450	2620	210
Sales	1850	1940	165
Marketing	950	1020	85
Operations	2100	2200	190
HR	340	370	25
Finance	220	235	18
Administration	290	310	22

Table 4: Cash Flow Summary (USD Millions)

Category	Q4 2024 (USD M)	Q3 2024 (USD M)
Net Income	230	195
Depreciation & Amortization	45	42
Change in Working Capital	-25	-20
Operating Cash Flow	250	217
Capital Expenditures	-90	-70
Investing Cash Flow	-75	-60
Debt Repayment	-40	-35
Financing Cash Flow	-30	-25
Net Change in Cash	145	132

The balance sheet remained robust with \$1.1B in cash reserves at the end of Q4 2024. The company continues its share repurchase program, buying back \$25M of stock during the quarter. Management projects moderate revenue growth in Q1 2025 as AI infrastructure demand remains strong. A new R&D center will open in Austin, Texas, to support hiring expansion in 2025.

Notes: